Interim Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months ended March 31, 2007 and 2006

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at March 31, 2007	As at March 31, 2006	As at December 31, 2006
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 9,945**	$ -	$ -
Accounts receivable (Note 3)	**56,041**	27,097	57,272
Inventories	**48,536**	38,809	46,081
Future tax asset – current	**5,349**	5,245	5,873
Prepaid expenses	**5,549**	5,052	3,576
Other current assets (Note 2(a)(iii))	**60,944**	-	-
	186,364	76,203	112,802
Property and equipment	**376,998**	354,565	374,647
Goodwill	**374,112**	315,362	372,980
Other intangibles	**5,132**	5,654	5,321
Future tax asset – non-current	**402**	10,242	403
Other long-term assets	**1,941**	940	58,115
	$ 944,949	$ 762,966	$ 924,268
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ -**	$ 3,674	$ 1,130
Accounts payable and accrued charges	**164,194**	120,598	169,134
Due to Maple Leaf Foods Inc.	**9,453**	3,648	9,336
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**18,361**	14,580	23,336
Current portion of long-term debt	**11,529**	182	9,494
	205,062	144,207	213,955
Long-term debt	**96,113**	35,589	86,471
Future tax liability	**29,878**	23,717	29,611
Other long-term liabilities	**10,123**	5,908	5,787
Shareholders' equity (Note 4)	**603,773**	553,545	588,444
	$ 944,949	$ 762,966	$ 924,268

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended March 31, **2007**	2006
Sales	**$ 358,337**	$ 301,564
Earnings from operations before restructuring and other related costs	**29,961**	28,001
Restructuring and other related costs (Note 5)	**(2,192)**	-
Earnings from operations	**27,769**	28,001
Other income	**502**	186
Earnings before interest and income taxes	**28,271**	28,187
Interest expense	**1,255**	729
Earnings before income taxes	**27,016**	27,458
Income taxes	**9,106**	8,061
Net earnings	**$ 17,910**	$ 19,397
Earnings per share - basic	**$ 0.70**	$ 0.76
Earnings per share - diluted	**$ 0.70**	$ 0.76
Weighted average number of shares (millions)	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended March 31, **2007**	2006
Retained earnings, beginning of period	**$ 450,733**	$ 406,649
Net earnings	**17,910**	19,397
Dividends declared ($0.06 per share; 2006: $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 467,118**	$ 424,521

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2007**	2006
Net earnings	**$ 17,910**	$ 19,397
Other comprehensive income (loss) (Note 4)	**(894)**	941
Comprehensive income	**$ 17,016**	$ 20,338

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2007**	2006
CASH PROVIDED BY (USED IN)		
Operating activities		
Net earnings	**$ 17,910**	$ 19,397
Add (deduct) items not affecting cash:		
Depreciation and amortization	**12,284**	11,294
Future income taxes	**970**	(1,077)
Gain on sale of property and equipment	**(490)**	(162)
Other	**244**	54
Change in operating working capital	**(10,970)**	(35,022)
	19,948	(5,516)
Financing activities		
Dividends paid	**(1,525)**	(1,525)
Increase in long-term debt	**11,677**	3,294
	10,152	1,769
Investing activities		
Additions to property and equipment	**(11,667)**	(9,870)
Proceeds from sale of property and equipment	**600**	276
Purchase of net assets of business, net of cash acquired (Note 7)	**(7,989)**	(1,865)
Change in intangible assets	**31**	150
	(19,025)	(11,309)
Increase (decrease) in cash and cash equivalents	**11,075**	(15,056)
Cash and cash equivalents (bank indebtedness), beginning of period	**(1,130)**	11,382
Cash and cash equivalents (bank indebtedness), end of period	**$ 9,945**	$ (3,674)

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended March 31, **2007**	2006
Sales		
Fresh Bakery	**$ 219,186**	$ 207,494
Frozen Bakery	**139,151**	94,070
	$ 358,337	$ 301,564
Earnings from operations before restructuring and other related costs		
Fresh Bakery	**$ 22,001**	$ 21,576
Frozen Bakery	**7,960**	6,425
	$ 29,961	$ 28,001
Additions to property and equipment		
Fresh Bakery	**$ 7,002**	$ 5,551
Frozen Bakery	**4,665**	4,319
	$ 11,667	$ 9,870
Depreciation and amortization		
Fresh Bakery	**$ 6,202**	$ 5,812
Frozen Bakery	**6,082**	5,482
	$ 12,284	$ 11,294

	As at March 31, 2007	As at March 31, 2006	As at December 31, 2006
	(Unaudited)	(Unaudited)	
Total assets (Note 2(b))			
Fresh Bakery	**$ 385,157**	$ 361,462	$ 378,311
Frozen Bakery	**525,974**	363,960	529,360
Non-allocated assets	**33,818**	37,544	16,597
	$ 944,949	$ 762,966	$ 924,268

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at March 31, 2007.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2006. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2006, except for the following:

(a) Accounting changes

Effective January 1, 2007 the Company prospectively adopted the guidance presented in CICA Handbook Sections 1530 "Comprehensive Income" ("Section 1530"), Section 3855 "Financial Instruments – Recognition and Measurement" ("Section 3855"), and Section 3865 "Hedges" ("Section 3865").

On January 1, 2007 the Company recorded the following transitional adjustment to the consolidated balance sheet as a result of the adoption of the new standards:

Increase in other current assets	$	3,369
Increase in future tax assets – long-term		85
Increase in other long-term liabilities		(3,616)
Accumulated other comprehensive loss – cash flow hedges		162

(i) Comprehensive Income

In accordance with Section 1530, the Company has presented comprehensive income and its components as part of the financial statements to show unrealized gains and losses that are not included in GAAP income. Comprehensive income is the change in equity during a period resulting from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by owners and distributions to owners. In accordance with the new standard, $5.3 million relating to unrealized losses resulting from the translation of self-sustaining operations which had previously been

classified as unrealized foreign currency adjustment within shareholders' equity is now presented within accumulated other comprehensive income.

(ii) Financial Instruments

In accordance with Section 3855, the Company has classified all financial assets as either held for trading, available for sale, held-to-maturity or loans and receivables. All financial liabilities are classified as either held for trading or as other liabilities. Financial assets and liabilities classified as held for trading are measured at fair value with changes in fair value recognized in net income in the period in which they arise. Financial assets classified as available-for-sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired. Held-to-maturity investments, loans and receivables and other liabilities are measured at amortized cost. Gains or losses on financial assets and liabilities carried at amortized cost are recognized in earnings when the financial asset or financial liability is derecognized or impaired. All derivative instruments, including any embedded derivatives that are required to be separated from their host instruments, are recorded at fair value with changes in fair value being recorded in income unless the derivative is designated as a cash flow hedge or a hedge of a net investment in a self-sustaining foreign operation. The Company completed a detailed review of its financial instruments and its contracts and determined that the fair value of embedded derivative instruments which required separation from their host instruments was not significant.

(iii) Hedge Accounting

The Company's existing hedging relationships continue to qualify for hedge accounting under the new standard. The Company continues to designate hedges as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining foreign operation. For a fair value hedge, changes in the fair value of the hedging derivative are recognized in income together with the offsetting change on the hedged item attributable to the hedged risk. For cash flow and net investment hedges, changes in the fair value of the hedging derivative, to the extent effective, are recorded in other comprehensive income (loss) and are subsequently recognized in income when the hedged item affects income. Any ineffectiveness in hedging relationships is recognized in income immediately.

On adoption the Company recognized an increase in other current assets of $3.4 million, an increase in other long term liabilities of $3.6 million and an increase in accumulated other comprehensive loss of $0.2 million (net of future taxes of $0.1 million) to recognize the fair value of interest rate and cross currency interest rate swaps used to hedge the Company's interest rate and foreign currency exposure. On adoption of the new standard, there was no significant ineffectiveness in these hedging relationships. The following table illustrates the fair values of financial instruments by type of hedging relationship:

	As at January 1, 2007	
	Other Current Assets	**Other Long-term Liabilities**
Cross currency interest rate swaps to hedge the net investment in self-sustaining foreign operations [(i)]	**$ 59,803**	**$ -**
Interest rate swaps to hedge interest rate exposure	**-**	**3,616**
Total	**$ 59,803**	**$ 3,616**

(i) The fair value of the cross currency interest rate swaps recorded in the accounts includes a gain of $ 56.4 million which had been recorded prior to adoption of the new standard related to the loss on currency translation that was previously recorded in the unrealized foreign currency adjustment account.

The fair value of the Company's financial instruments used to hedge interest rate and foreign currency exposures as at March 31, 2007 are as follows:

	As at March 31, 2007	
	Other Current Assets	**Other Long-term Liabilities**
Cross currency interest rate swaps to hedge the net investment in self-sustaining foreign operations [(i)]	**$ 60,425**	**$ -**
Interest rate swaps to hedge interest rate exposure	**-**	**3,293**
Foreign currency contracts to hedge transactions denominated in foreign currencies	**519**	**-**
Total	**$ 60,944**	**$ 3,293**

(i) The fair value amount includes a currency revaluation gain of $ 58.2 million, which has been recorded in the unrealized foreign currency translation adjustment, a component of accumulated other comprehensive income.

(b) Comparative figures

Certain 2006 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2007 and the year ended 2006.

3. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At March 31, 2007, trade accounts receivable being serviced under this program amounted to $70.0 million (March 31, 2006: $70.0 million; December 31, 2006: $70.0 million)

4. ACCUMULATED OTHER COMPREHENSIVE LOSS

Shareholders' equity consists of the following:

	As at March 31, 2007	As at March 31, 2006
Share capital (25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**467,118**	424,521
Accumulated other comprehensive loss (see below)	**(6,310)**	(13,941)
	$ 603,773	$ 553,545

Accumulated other comprehensive loss consists of the following:

	Three months ended March 31, 2007	Three months ended March 31, 2006
Balance at the beginning of the period	**$ (5,254)**	$ (14,882)
Transition adjustment as of January 1, 2007 (Note 2(a))	**(162)**	-
Adjusted balance at the beginning of the period	**$ (5,416)**	$ (14,882)
Change in accumulated foreign currency translation adjustment	**(715)**	941
Change in unrealized derivative loss on cash flow hedges – net[(i)]	**(179)**	-
Other comprehensive income (loss) for the period	**$ (894)**	$ 941
Accumulated other comprehensive loss as at March 31, 2007	**$ (6,310)**	$ (13,941)

(i) Unrealized derivative loss on cash flow hedges is net of tax of $ 0.1 million in the quarter. The Company estimates that $1.8 million of net derivative gains included in other comprehensive income will be reclassified into net earnings within the next 12 months. During the quarter, a gain of approximately $0.9 million was released to income from accumulated other comprehensive loss, which is included in the net change for the period.

5. RESTRUCTURING AND OTHER RELATED COSTS

During the fourth quarter of 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after tax). These costs related to the closure of a fresh bakery plant in British Columbia, and lease termination costs related to the winding down of the fresh waffle business in Ontario. During the first quarter of 2007, additional costs of $2.2 million ($1.5 million after tax) were incurred relating to these closures. The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in the first quarter of 2007 as well as the related liability as at March 31, 2007.

	Severance	Site closing	Accelerated Depreciation	Retention	Total
2006 Restructuring and other related Costs					
Charges during fourth quarter	$ 2,525	$ 1,428	$ 1,531	$ –	$ 5,484
Cash draw-downs	–	(67)	–	–	(67)
Non-cash items	–	–	(1,531)	–	(1,531)
Balance at December 31, 2006	$ 2,525	$ 1,361	$ –	$ –	$ 3,886
Charges during first quarter	**$ –**	**$ 269**	**$ 1,861**	**$ 62**	**$ 2,192**
Cash draw-downs	**–**	**(193)**	**–**	**–**	**(193)**
Non-cash items	**–**	**–**	**(1,861)**	**–**	**(1,861)**
Balance at March 31, 2007	**$ 2,525**	**$ 1,437**	**$ –**	**$ 62**	**$ 4,024**

6. PENSIONS

During the quarter, the Company recorded $2.5 million related to net benefit plan expense (2006: $2.5 million).

7. ACQUISITIONS

On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. (“Chevalier”) for $7.9 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. As at March 31, 2007 the Company has not yet finalized the purchase price allocation.

On October 2, 2006, the Company acquired the shares of Royal Touch Foods Inc. (“Royal Touch”) for $8.0 million, net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. As at March 31, 2007 the Company has not yet finalized the purchase price allocation.

8. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended March 31,	
	2007	2006
Net interest paid	**$ 1,434**	$ 729
Net income taxes paid	**13,088**	17,277